

Avoid Mortgage Traps

Besides dragging out a mortgage longer than necessary, there are two other huge mortgage-related mistakes that can drive your millionaire aspirations off a cliff. First is the belief that you should keep your mortgage because of the tax advantages. People ask, “Why would I want to pay off my mortgage? I get a great tax break by writing off the mortgage interest.” I can’t believe how many people think this is a good idea. Can these people not do basic math? Here’s the deal: yes, you get to write off your mortgage interest on your tax return, but that write-off will never save you more than it *costs* you. Here’s a quick example: if you have a \$200,000 loan at a 5% interest rate, you’ll pay \$10,000 a year in interest. Because mortgage interest is tax-deductible, you get to write off that amount, meaning you won’t pay income tax on that \$10,000. If you’re in a 25% tax bracket, that deduction will save you \$2,500 a year in taxes. Well, all right. Who doesn’t want to save \$2,500 in taxes? Case closed, right? Wrong.

If that’s as far as you take it, you can fool yourself into thinking it’s a smart thing to keep the mortgage just for the tax deduction. You need to open your eyes, though, and see the bigger picture. In that example, you sent the bank \$10,000, and that enabled you to save \$2,500 off your tax bill. Don’t miss that: you *traded* \$10,000 for \$2,500. That’s like asking a cashier to break a \$10 bill for you, but he only gives back \$2.50—and you *thank him for it*. If you want to build wealth, you have to be smarter than that. Wealthy people know that it’s better to save the whole \$10,000! Of course, you absolutely should take advantage of the tax deduction as long as you have a mortgage—that’s smart! But don’t use that deduction as an excuse to keep the mortgage any longer than necessary.

The second mortgage-related mistake that can completely derail your millionaire goals is the home equity line of credit. Oh, the HELOC! This little gem has gotten a lot of attention over the past twenty years or so. But as I said in chapter 3, the HELOC is nothing more than a second mortgage.